1,00,000 Won (an amount that would buy a 50 kg sack of rice, or less than $40, at black-market exchange rates), and any amount above that threshold would be, in effect, worthless. In response to the citizens' immediate and widespread anger, those limits were subsequently raised to 1,50,000 Won and later to 5,00,000 Won.

Furthermore, while the old notes ceased to be legal tender on 30 November 2009, the new Won notes were not distributed until 7 December 2009, which meant that North Koreans could not exchange any money for goods or services until that date. Most shops, restaurants and transport services shut down for the week.

The move sparked a nationwide panic. To quell civil unrest, army bases were put on standby, and authorities threatened 'merciless punishment' for any person who violated the rules of the currency change.

North Korean authorities took a second step against the markets by banning use of foreign currencies on 28 December 2009. This measure was designed to further strengthen political control over 'black markets' by criminalizing the unauthorized possession of foreign currency.

The third step was the most drastic. North Korean authorities shut down general markets across the country in order to transition them to farmers' markets. This shutdown exacerbated both inflation and the short supply of goods inside North Korea, contributing to the spread of famine conditions in various parts of the country, and resulting in starvation deaths.

Explaining the rationale for the demonetization, Bill Powell wrote in *Time* magazine, 'The government allowed black markets to proliferate this decade out of desperation, but they had grown to the point where the leadership may have begun to feel threatened. Small traders and black markets existed outside of government control, and, by definition, at some point the regime was not going to tolerate that… The breakaway, snowballing market was a threat to the regime… Under the new plan, however, the small savers who run